OpenAI Investment Due Diligence

NEXUS RESEARCH DESK | PUBLIC EVIDENCE REVIEW

DOCUMENT CONTROL	DETAIL
Target	OpenAI
Transaction	Public evidence review for private company
As-of date	6 November 2026
Currency / unit	USD millions unless stated
Prepared by	Nexus Research Desk
Review status	Research draft. Independent sign-off pending
Linked financial workbook	openai-due-diligence.xlsx

Research as of 6 November 2026. Filed facts, company announcements and analyst assumptions are identified separately.

1 Executive Investment Assessment

DECISION ITEM	ASSESSMENT AND OPEN ITEMS
Preliminary disposition	Defer pending verification
Core thesis	A broad distribution base creates room for subscription, enterprise and API monetization. The underwriting case depends on contribution margin after compute, recurring customer spend and funding against contractual capacity.
Indicative transaction	No transaction terms or executable price assumed.
Investment test	Audited consolidated accounts and cash flow
Conditions precedent	Obtain audited standalone statements, signed compute commitments, a fully diluted cap table and a financing-to-cash reconciliation.
Disconfirming evidence	High usage and committed capital can coexist with negative cash flow, declining unit pricing, and high dependence on a small number of infrastructure partners.

2 Business and Competitive Position

ChatGPT distribution, enterprise products and the API create several revenue channels. Public funding announcements leave key questions about profitability, liquidity and the cost of serving demand. A broad distribution base creates room for subscription, enterprise and API monetization. The underwriting case depends on contribution margin after compute, recurring customer spend and funding against contractual capacity.

TEST	EVIDENCE REQUEST	ANALYST INTERPRETATION / ACTION
Market size	Segment filings and independent demand data	Build a bottom-up range. No verified TAM is assumed.

TEST	EVIDENCE REQUEST	ANALYST INTERPRETATION / ACTION
Competitive advantage	March 31 funding announcement	OpenAI announced $122B in committed capital at an $852B post-money valuation on March 31, 2026. This is a dated financing reference. It does not establish unrestricted cash, current fair value or an enterprise value.
Revenue concentration	Amazon Q3 2026 10-Q · OpenAI arrangements	Amazon's September 10-Q records a $50B preferred investment and describes commercial arrangements with OpenAI. OpenAI's announcement described a multi-year AWS agreement expansion. Analyze the investment and the customer commitment separately.
Growth quality	OpenAI structure disclosure	OpenAI states that its Foundation controls OpenAI Group PBC through special voting and governance rights. Investment rights and board control need separate underwriting.
Regulation	Public filings and relevant case dockets	Review nonprofit board rights, PBC purpose, related-party terms, copyright and privacy litigation, and independent safety and incident reporting.

3 Financial Diligence and Earnings Quality

USD millions. No audited standalone income statement, balance sheet or cash-flow series was verified in the public sources reviewed. Announced commitments are tracked separately from company financials.

RECONCILIATION	SOURCE	PROCEDURE	OPEN ISSUE
Revenue	Audited standalone accounts unavailable	Tie annual and interim periods separately.	Check mix and repeatability.
Operating earnings	Filed results when available	Separate operating performance and financing remeasurement.	Independent QoE pending.
Working capital	Cash flow and balance sheet notes	Bridge payment timing and customer/vendor balances.	Normalize before forecasting.
Cash conversion	Operating cash flow and cash capex	Compare cash measures and assess noncash lease additions.	Check cash obligations separately.
Debt-like items	Financing and commitments notes	Reconcile debt, leases, and preferential claims.	Equity bridge pending.

4 Valuation and Market Comparisons

The workbook withholds a DCF. A defensible value requires sufficient information on operating margins, reinvestment, contract timing and the capital structure. Dated financing or filing references are evidence for diligence.

METHOD	BASIS / PROCEDURE	KEY SENSITIVITIES	VERIFICATION
DCF	Withheld	Growth, margin, capital intensity and discount rate	Required inputs unavailable
Trading peers	Pending dated comparable inputs	Business mix, fiscal periods, equity and debt bridge	No multiple published
Precedent M&A	Pending comparable transactions	Control premium, timing and rights	No multiple published
LBO	No control transaction assumed	Sponsor entry, debt covenants and exit terms	Out of scope

5 Financing and Capital Requirements

Verify closing conditions and cash receipts separately from commitments. Reconcile priority rights and convertibles, then model contracted payments by quarter. No sponsor deal is assumed.

VALUE-CREATION LEVER	OPERATING KPI / CONTROL	100-DAY DILIGENCE PRIORITY
Retention and upsell	Audited consolidated accounts and cash flow	Review cohorts and concentration.
Margin improvement	Compute economics and customer cohort retention	Bridge unit cost and reinvestment.
Add-on M&A	No acquisitions underwritten	Review only identified opportunities.
Debt and commitments	Signed funding terms, cap table and partner obligations	Reconcile obligations by due date.
Exit and liquidity	No exit price assumed	Verify rights and financing access.

6 Quantitative Research and Model Checks

No portfolio return statistics are published without an aligned, point-in-time total-return series. The scenario narratives describe mechanisms to test. They carry no assigned probabilities.

MODEL / METRIC	METHODOLOGY	PASS / ESCALATION
Beta and tracking error	Use aligned total returns and an appropriate benchmark.	Pending verified series
VaR and CVaR	Evaluate over a sufficient sample and stress regimes.	Withheld
Drawdown	Use date-aligned peak-to-trough returns.	Withheld
Forecast validation	Check fiscal alignment and reconcile inputs to filings.	Independent review pending

MODEL / METRIC	METHODOLOGY	PASS / ESCALATION
Scenario analysis	Base case. Monetization expands while capacity growth keeps funding needs material.	Stress against bear case.

7 Legal Tax Cyber and Governance

WORKSTREAM	MINIMUM DOCUMENTS	RED FLAG / CLOSING GATE
Legal and corporate	Filings, governance documents and litigation dockets	Review nonprofit board rights, PBC purpose, related-party terms, copyright and privacy litigation, and independent safety and incident reporting.
Debt and commitments	Credit and commercial contracts	Test maturities, remedies and liquidity.
Tax	Tax disclosures and relevant jurisdiction filings	Reconcile recurring taxes and disputes.
Cyber and privacy	Incident disclosures and security controls	Review independent assurance.
Governance and people	Board, voting and succession disclosures	Confirm control and approvals.

8 Risk Register and Decision Gates

MATERIAL RISK	INHERENT SEVERITY	REQUIRED MITIGATION	GATE
Unverified cash runway and contract exposure	High	Obtain audited standalone statements, signed compute commitments, a fully diluted cap table and a financing-to-cash reconciliation.	Open
Upside case	Scenario	Enterprise adoption compounds and infrastructure cost per paid task falls.	Test
Downside case	Scenario	Competition compresses API prices and compute commitments outlast demand growth.	Test
Liquidity and cash timing	High	Build a dated commitments and cash bridge.	Open
Model risk	High	Review source dates, assumptions and scenario outputs.	Open

9 Evidence Log and Review Workflow

ITEM / ID	OWNER / SOURCE	STATUS	DECISION RELEVANCE
FIN-01 Accounts	Issuer filings or auditor	Missing	No audited standalone income statement, balance sheet or cash-flow series was verified in the public sources reviewed. Announced commitments are tracked separately from company financials.
FIN-02 Earnings quality	Finance diligence	Open	Reconcile operating profit and cash.
COM-01 Commercial review	Research desk	Open	Audited consolidated accounts and cash flow
LEG-01 Governance	Legal diligence	Open	Confirm decision rights and exposures.
DEAL-01 Financing	Treasury diligence	Open	Signed funding terms, cap table and partner obligations

10 Investment Committee Resolution

Proposed research disposition is defer. Obtain audited standalone statements, signed compute commitments, a fully diluted cap table and a financing-to-cash reconciliation. This report records no investment approval or reviewer sign-off.

SIGN-OFF	NAME / DATE	DECISION / COMMENTS
Lead investment professional	Pending	No sign-off recorded
Financial diligence lead	Pending	No sign-off recorded
Legal / compliance	Pending	No sign-off recorded
Risk / quantitative review	Pending	No sign-off recorded
Investment committee chair	Pending	No sign-off recorded

Appendix Workbook Guide and Sources

Read START HERE and Inputs before editing. The Financials tab separates historical evidence from forecasts. Blank schedules represent unavailable or out-of-scope inputs.

Source references follow. Reconcile changes to the reporting period and retain a dated record of the evidence reviewed.

March 31 funding announcement

Amazon Q3 2026 10-Q · OpenAI arrangements

OpenAI structure disclosure

2025-10-28 Foundation and Group PBC recapitalization

2026-03-31 Announced financing round

2026-04-27 Amended Microsoft agreement